 Name _____

Bad Debts Step by Step: % of Credit Sales Method

Sneaker Supply Co. (a made-up company) sells shoes to stores. It started business on **January 1**, so A/R and ADA begin at $0. Based on experience, it expects **2% of each month's credit sales** to be uncollectible, and it records BDE at the end of each month.

January transactions

- **Jan 5:** Sold shoes for **$4,000 cash**.
- **Jan 10:** Sold shoes to Store A **on credit, $6,000**.
- **Jan 20:** Sold shoes to Store B **on credit, $4,000**.
- **Jan 31:** Record bad debt expense: 2% of January's credit sales.

1. Journal entries for January

Use (+A), (−A), (+R), (+E), (+xA), (−xA).

Date	Account	Debit	Credit
Jan 5	**Cash (+A)**	**4,000**	
	Sales Rev (+R)		**4,000**
Jan 10	**A/R (+A)**	**6,000**	
	Sales Rev (+R)		**6,000**
Jan 20	**A/R (+A)**	**4,000**	
	Sales Rev (+R)		**4,000**
Jan 31	**BDE (+E)**	**200**	
	ADA (+xA, −A)		**200**

Jan 31: January credit sales = 6,000 + 4,000 = 10,000; BDE = 10,000 × 2% = 200. The cash sale has no collection risk, so it is not included.

2. Accounts receivable at the end of January

Accounts receivable, Jan 31	Amount
Gross A/R	**10,000**
Less: ADA	**200**
Net A/R	**9,800**

Cost of goods sold entries are omitted for brevity (see Ch6).

February

February transactions

- **Feb 8:** Sold shoes for **$3,000 cash**.
- **Feb 15:** Sold shoes to Store C **on credit, $5,000**.
- **Feb 20:** Store A went out of business. An amount equal to **1% of January's credit sales** is now deemed uncollectible and is written off.
- **Feb 28:** Record bad debt expense: 2% of February's credit sales.

3. Journal entries for February

Date	Account	Debit	Credit
Feb 8	**Cash (+A)**	**3,000**	
	Sales Rev (+R)		**3,000**
Feb 15	**A/R (+A)**	**5,000**	
	Sales Rev (+R)		**5,000**
Feb 20	**ADA (−xA, +A)**	**100**	
	A/R (−A)		**100**
Feb 28	**BDE (+E)**	**100**	
	ADA (+xA, −A)		**100**

Feb 20: 10,000 × 1% = 100 written off against ADA (no expense). Feb 28: 5,000 × 2% = 100.

4. Accounts receivable at the end of February

Accounts receivable, Feb 28	Amount
Gross A/R	**14,900**
Less: ADA	**200**
Net A/R	**14,700**

Gross A/R = 10,000 + 5,000 − 100 = 14,900. ADA = 200 − 100 + 100 = 200. Net A/R = 14,900 − 200 = 14,700.

5. Put it together

a BDE for January = **200** BDE for February = **100**

b ADA equation for February: Beginning ADA **200** + BDE **100** − Write-off **100** = Ending ADA **200**

c Did the Feb 20 write-off change BDE? yes / **no** Did it change net A/R? yes / **no**

The loss was already recorded as BDE in January (matching principle). The write-off lowers gross A/R and ADA by the same 100, so net A/R stays the same.